THE EQUITY EXPRESSION OF THE RARE EARTH MAGNETS THESIS

Oxide Is Not A Magnet

On 4 August the benchmark Chinese price for neodymium–praseodymium oxide was assessed at $97.40 a kilogram — below the $110 floor the Pentagon guaranteed MP Materials, for the first time since that contract was signed. In the same month MP reported neodymium–praseodymium sales up 127 per cent and magnet revenue down 17 per cent. The question has changed. It is no longer whether the West can mine and separate rare earths. It demonstrably can. It is whether it can turn them into magnets before 10 November, when the suspension of China's expanded export controls expires.

A reframe worth holding onto

The bottleneck was never the ore. Rare earths are not rare; they are merely troublesome to separate. The genuine scarcity sits two steps further downstream, in the sintering and qualification of finished permanent magnets — a metallurgical craft China holds roughly nine-tenths of. Every Western tonne of oxide not converted into a magnet at home is a tonne exported into the very supply chain it was raised to replace. Production statistics can therefore rise while dependence does not fall.

Method. External figures in this edition are drawn from company results releases, China's General Administration of Customs, published price assessments and dated news reporting; each carries its as-of date where it appears. The internal leg is degraded: the Heyokha Wiki MCP server did not respond in this run, so no Wiki page, provider issue or *last_reviewed* date could be retrieved or cited. Where a reframe or a mental model appears below it is the editorial construction of this edition, built from published external material, and is labelled as such rather than attributed to an internal provider. Nothing here is presented as an internal house view.

Picture a country that has decided it can no longer rely on imported bread. It plants wheat, and the harvest is excellent. Silos fill, a grain price is quoted every morning, and ministers cite the tonnage in speeches. But the country has one working mill, its ovens are half-built, and the bakery is scheduled to open in 2028. So the grain is loaded onto ships bound for the same foreign bakeries as before, and the bread sails back — more of it than last year, at a higher price per loaf. The harvest statistics describe independence. The breakfast table has not changed. That is the rare earth complex in August 2026.

THE STORY IN 60 SECONDS

$97.40

Per kilogram, NdPr oxide on the Shanghai Metals Market benchmark — some 11.9 per cent below July's $110.55, and beneath the $110 Department of Defense floor for the first time.
SMM benchmark, as of 4 August 2026.

5,375 t

China's permanent magnet exports in July, down 4.9 per cent on June. Yet January to July ran 32.2 per cent ahead of a year earlier, and US-bound shipments hit a record for the month.
China General Administration of Customs, July 2026.

−17%

Year-on-year fall in MP Materials' Magnetics segment revenue in the second quarter, to $16.5m — against a 155 per cent rise in Materials revenue to $95.6m.
MP Materials Q2 2026 results, August 2026.

WHAT ACTUALLY HAPPENED

Two prices, one word

For most of the past eighteen months the rare earth trade has been discussed as a single market with a single direction. August has pulled that apart. Thirteen of the nineteen elements in one widely tracked basket fell over the month, reversing July's near-unanimous rally. The light end — neodymium and praseodymium, the workhorse elements of a permanent magnet — fell hardest, with the Shanghai benchmark assessed at $97.40 per kilogram on 4 August against $110.55 in July. The heavy end held far better in absolute terms even as it corrected: terbium was quoted around $1,095 per kilogram inside China on 3 August, off a high set in July, while dysprosium remained roughly doubled on the year to date.

The $110 mark matters because it is not a market level. It is a contractual one. Under the ten-year public–private partnership MP Materials announced with the Department of Defense in July 2025, the Department guaranteed a floor of $110 per kilogram on the company's neodymium–praseodymium output, paying the shortfall where the market falls below it and taking 30 per cent of the upside above it. A price floor is an admission that the free-market price is not reliably high enough to fund the build. When the spot price slips under it, the subsidy becomes visible rather than theoretical — and the argument shifts from whether Western production is competitive to who is paying for it to exist.

Against that backdrop the operating results were, on the face of it, excellent. MP produced 840 tonnes of neodymium–praseodymium oxide in the second quarter, 41 per cent more than a year earlier, and sold 1,006 tonnes, up 127 per cent. Consolidated revenue and price-protection income reached $126.1m and adjusted EBITDA $28.5m. Lynas, on the other side of the Pacific, closed its June quarter with a record average selling price of A$98 per kilogram and revenue up 70 per cent to A$288.9m, lifting cash by A$138m to A$1.209bn. Both companies are, unambiguously, selling more material at better prices than they were a year ago.

Both were nonetheless marked down. Lynas shares fell about 9 per cent on the day of its result, because the record price was achieved on volumes that missed: 1,857 tonnes of neodymium–praseodymium, roughly 15 per cent short of consensus, held back by water plant and ore quality problems at Mt Weld, with revenue landing some 23 per cent below expectations. MP's Magnetics segment — the part of the company that exists to make the finished article rather than the input to it — shrank 17 per cent year on year to $16.5m, with first commercial magnet deliveries pushed to the fourth quarter and the flagship 10X plant a 2028 event. The tape was pricing the difference between a mining result and a manufacturing result.

THE ESSENTIAL DISTINCTION

An oxide price and a magnet price are not the same market. Oxide is a chemical commodity, quoted daily and shipped in drums. A sintered neodymium–iron–boron magnet is an engineered component, cut to a customer's motor and qualified over months of testing. *China exported its magnets at an average $60.4 a kilogram in July — the highest in three years, and a figure that says more about product mix and pricing power than about raw-material scarcity.*

MECHANISM

Four steps from rock to torque

1 · Ore to concentrate

Bastnäsite or monazite is mined and upgraded on site. Mountain Pass in California and Mt Weld in Western Australia both do this at scale. Capital-intensive, geologically constrained — and the part of the chain the West has genuinely solved.

→

2 · Separation to oxide

Solvent extraction across hundreds of successive stages splits elements that are chemically almost identical. Fiddly, effluent-heavy, slow to commission. Now running in California, Malaysia and Estonia. This is where the reported revenue currently comes from.

→

3 · Metal and alloy

Oxide is reduced to metal, then strip-cast into neodymium–iron–boron alloy flake with tightly controlled grain structure. Very few plants exist outside China; Less Common Metals in England is among the larger ones.

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4 · Sinter and qualify

Alloy is milled to powder, pressed in a magnetic field, sintered, machined, coated, then qualified to one specific motor over many months. China holds roughly 90 per cent of this step. It is where the margin and the dependence both sit.

Process description compiled from company disclosures (MP Materials, Lynas Rare Earths, Neo Performance Materials, USA Rare Earth) and public technical literature. Share-of-step figure from widely cited industry estimates of Chinese neodymium–iron–boron magnet production, August 2026.

~90%

China's estimated share of global neodymium–iron–boron permanent magnet production — against roughly 70 per cent of mined output and close to 90 per cent of separation capacity. The concentration deepens as the chain moves downstream.

10 Nov 2026

Expiry of the twelve-month suspension of China's expanded October 2025 export controls, including the extraterritorial rule reaching products made anywhere using Chinese-origin material or technology. The April 2025 controls on seven heavy elements never lapsed.

2028

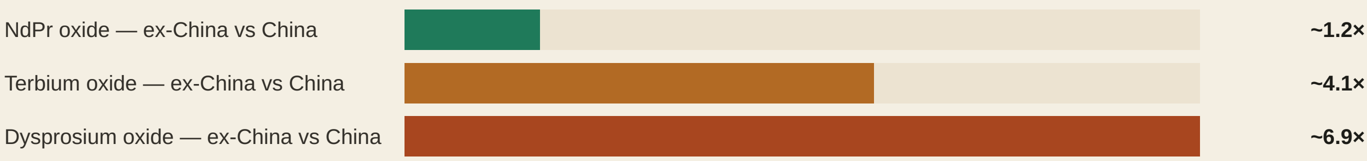
Commissioning year for MP Materials' 10X magnet plant, adding an estimated 10,000 tonnes a year of magnet capacity, with the Department of Defense underwriting purchase of its entire output for a decade afterwards.

Share estimate: industry consensus figures widely reported through 2026. Expiry date: China's Ministry of Commerce suspension of the October 2025 measures, effective for twelve months from 10 November 2025. Capacity and commissioning: MP Materials–Department of Defense partnership announcement, July 2025.

THE CENTRAL COMPARISON

Where the premium actually is

If the West were being paid for security of supply, the premium would show up in the price of material bought outside China. It does — but very unevenly, and the unevenness is the whole argument. For the light elements that dominate revenue, the ex-China premium is modest. For the heavy elements that make a magnet work at high temperature, and which China has licensed case by case since April 2025, it is a multiple.



Bars are illustrative and not to a common price scale; they express a ratio, not a level. Ratios computed from figures carrying **different as-of dates** and different assessment methodologies, and should be read as orders of magnitude only. China domestic references: NdPr $97.40/kg (4 Aug 2026), terbium c.$1,095/kg (3 Aug 2026), dysprosium c.$209/kg (June 2026). Ex-China references: NdPr $115–120/kg CIF North America (August 2026 indications), terbium c.$4,500/kg and dysprosium c.$1,450/kg (2026 ex-China indications reported mid-year). European price levels have separately been reported at up to six times Chinese levels.

Two implications follow. First, the companies whose revenue is overwhelmingly light rare earth — which is most of them — are exposed to a price that has just broken a politically significant level, and are being paid a thin premium for a strategic service. Second, the elements where the scarcity is real and the premium is enormous are precisely the ones the

West cannot yet separate at commercial scale. Energy Fuels announced the first documented US primary production of a heavy rare earth oxide at specification grade in decades on 25 March 2026 — terbium oxide at 99.9 per cent purity — and is targeting commercial dysprosium and terbium output only by the end of 2027. Iluka's Eneabba refinery, designed for 5,500 tonnes a year of neodymium–praseodymium and 750 tonnes of dysprosium and terbium, has slipped from a 2026 commissioning target to 2027.

A USEFUL MENTAL MODEL

Treat the complex as two businesses wearing one name. The light business is a mining business: cyclical, cost-curve driven, with a price that can and does fall. The heavy business is closer to a licensing business administered from Beijing, where the price outside China is set by permission rather than by the cost of production. *Conflating the two produces a portfolio that owns the first while telling itself a story about the second.*

THE SHIFT

What has actually changed

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The light price broke its political floor	NdPr oxide assessed at $97.40/kg on 4 August, roughly 11.9 per cent below July, against the $110/kg Department of Defense floor. S&P Global reported material heard below $110 CIF North America on 18 August.	The floor is doing its job and stabilising MP's cash flow. It also demonstrates that the unsubsidised price does not currently clear the cost of building a Western chain, which makes the whole programme a policy asset rather than a commercial one.
Volume is now real, and so is the miss risk	MP sold 1,006 tonnes of NdPr, up 127 per cent. Lynas produced 1,857 tonnes, about 15 per cent below consensus, on water plant and ore quality problems at Mt Weld.	Scale removes the old objection that Western supply was rounding error. It also converts these from option-value stories into operating companies, judged quarterly on tonnes and unit costs like any other miner.
The magnet step has slipped into view	MP Magnetics revenue −17 per cent to $16.5m with first commercial deliveries in Q4 2026; Neo's Narva plant shipping qualification samples but not at commercial volume; USA Rare Earth targeting 200–500 tonnes.	Qualification progress with a customer such as General Motors is the genuine milestone the thesis needs. Until it converts, the segment consumes capital while the market values the company on the segment that does not solve the problem.
Chinese magnet exports rose rather than fell	5,375 tonnes in July, down 4.9 per cent on the month but with January to July up 32.2 per cent year on year; US shipments a record for the month, overtaking South Korea as the second-largest destination.	Ample supply keeps Western manufacturers running and caps input costs. It also means the de-risking narrative and the trade data are pointing in opposite directions, and buyers are re-establishing exactly the dependence the policy targets.
A hard date has entered the calendar	The suspension of the October 2025 expanded controls, including the extraterritorial rule, lapses on 10 November 2026. The April 2025 licensing regime on seven heavy elements never lapsed.	A binary catalyst concentrates minds and can reprice the sector violently in either direction. It also makes the next eleven weeks a political forecast rather than an industrial one, which is not a discipline most equity processes are built for.
Balance sheets have diverged from narratives	Lynas holds A$1.209bn of cash but raised heavy rare earth capex to A$294m. Neo posted US$205.7m of Q2 revenue and US$57m adjusted	Capacity to fund the build is now the differentiator between survivors and dilution candidates. Equally, cash committed to 2027 and 2028 projects is cash

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
	EBITDA against negative US$49.6m of first-half operating cash flow on rising inventory.	exposed to a price that has just fallen and a political settlement that may change.

BOTH SIDES

Bull and bear, stated fairly

The bull case

- **Demand is structural, not cyclical.** Permanent magnets sit in electric traction motors, wind turbine generators, robotics and precision munitions. None of those end markets is discretionary in the way a commodity cycle usually is.
- **The floor removes the historic killer risk.** Every previous Western rare earth venture died when Chinese supply crushed the price. A ten-year $110/kg guarantee with 30 per cent upside sharing to the Department of Defense removes precisely that mechanism for MP.
- **Volumes have arrived.** MP's NdPr sales up 127 per cent year on year, and Lynas's record A$98/kg average selling price with cash up A$138m to A$1.209bn, are operating facts rather than projections.
- **The heavy end is genuinely scarce and genuinely priced.** Ex-China indications for dysprosium and terbium have run at multiples of Chinese domestic levels, and the first Western producers to separate them at scale will meet very little competition.
- **Offtake is being underwritten, not marketed.** The Department has agreed that the entire output of the 10X plant is purchased for ten years after construction, and MP has signed long-term separated gadolinium supply with a US aerospace and defence customer.
- **A hard deadline forces a decision.** If Beijing reinstates the extraterritorial rule on 10 November, every non-Chinese manufacturer using Chinese-origin material faces a compliance problem that only Western capacity solves.

The bear case

- **The economics do not stand up unsubsidised.** A guaranteed floor is a statement that the market price is insufficient. With the benchmark at $97.40/kg on 4 August, the taxpayer is now visibly funding the difference.
- **The magnet business is shrinking, not scaling.** MP's Magnetics revenue fell 17 per cent year on year. Neo's Estonian plant is still on qualification samples. The step that justifies the valuation is the step not yet earning.
- **The trade data contradict the story.** Chinese magnet exports ran 32.2 per cent ahead year to date through July, with US volumes at a record for the month. Dependence is deepening while the de-risking case is being made.
- **Operational delivery is proving hard.** Lynas missed consensus production by roughly 15 per cent on water plant and ore quality; Iluka's Eneabba refinery has slipped from 2026 to 2027; Energy Fuels' commercial heavy separation is an end-2027 target.
- **Valuations already embed the good outcome.** Roth cut its USA Rare Earth target from $40 to $30 in July on execution and funding risk while early production remains loss-making and financing implies meaningful dilution.
- **The catalyst can resolve the wrong way.** An extension of the suspension, or a negotiated settlement, would remove the scarcity premium from a sector whose 2028 cost base has already been committed. MP trades around $60 against a 52-week high of $100.25 — the de-rating has begun once already.

DIVERGENCE

Where the accounts do not reconcile

One conflict is left open here rather than resolved. The strategic account — the one implied by a Department of Defense price floor, a 10,000-tonne magnet plant and an eleven-week countdown to a control expiry — describes a Western supply chain being urgently rebuilt because Chinese supply is unreliable. China's own customs data describe something else: permanent magnet exports running 32.2 per cent ahead year to date through July, at the highest average unit price in three years, with the United States taking a record volume for the month and displacing South Korea as the second-largest destination. Supply is not being withheld. It is being sold, in greater quantity, at a better price, to the country building the alternative.

Both accounts can be true at once — commercial flow continuing while optionality is retained — but they cannot both be the operative fact for an investor. If the binding constraint is availability, Western capacity is worth a large premium and the November date is the trigger. If the binding constraint is price and permission, then Beijing is currently exercising pricing power rather than denial, and the Western build is a hedge whose cost is being borne by governments while the commercial market clears elsewhere. This edition cannot settle which, and a normal degradation applies: the internal Wiki view that would ordinarily be set against the external data was unavailable in this run, so only one side of the house comparison is present.

DASHBOARD

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
10 November decision	Whether Beijing extends the suspension, reinstates the October 2025 measures selectively, or reimposes them in full, including the extraterritorial rule.	The single largest binary in the theme. The IEA has estimated that full implementation could place $6.5trn of downstream production outside China at risk.
MP's Q4 magnet deliveries	Whether the first commercial magnets actually ship in the fourth quarter, and whether the General Motors qualification converts to volume.	Converts the mine-to-magnet story from schedule to revenue. A slip would push the proof point into 2027 and leave the 2028 plant as the only anchor.
NdPr oxide versus $110/kg	How long the benchmark stays below the contractual floor, and whether the CIF North America differential widens or closes.	Sustained trading below the floor turns price-protection income into a recurring, visible line item and invites political scrutiny of the arrangement.
Monthly Chinese magnet exports	Whether the July decline of 4.9 per cent on the month extends, and whether US-bound volumes retreat from their record.	The cleanest available read on whether supply is genuinely tightening ahead of November or whether pre-deadline stockpiling is under way.
Lynas Mt Weld throughput	Whether the water plant and ore quality issues that cost roughly 15 per cent against consensus are resolved in the September quarter.	Distinguishes a temporary operational stumble from a structural constraint on the largest producer outside China.
Heavy separation milestones	Progress at Energy Fuels' White Mesa mill towards end-2027 commercial dysprosium and terbium, and Iluka Eneabba's revised 2027 commissioning.	Heavy rare earths carry the real ex-China premium. Western capacity here would alter the pricing structure far more than additional light output.

POSITIONING

Three postures, not one answer

Own the underwritten producer

Concentrate on the asset whose downside is contractually defined — a guaranteed floor, a committed offtake, a funded plant. The cost is that the same contract caps 30 per cent of the upside above the benchmark, ties the equity to a political relationship that can change with an administration, and prices in the 2028 outcome long before it is demonstrated.

Own the heavy separation option

Position where the ex-China premium is a multiple rather than a fraction, accepting pre-revenue or barely-revenue businesses. The cost is timing: commercial dysprosium and terbium output is an end-2027 and 2027 proposition at the earliest, funding gaps are real, and a negotiated settlement in November would compress the premium before the capacity arrives.

Own the consumer, not the producer

Express the theme through the industrials whose margins are hostage to magnet costs and availability — motor, turbine and defence-systems makers. The cost is dilution of the idea: the exposure is indirect, the benefit of falling input prices is often competed away, and a genuine supply interruption damages these businesses before it rewards them.

The companies named below are illustrative of how this theme is expressed in listed markets. They are NOT recommendations, and no view is offered on whether any of them should be bought, held or sold.

MP

$60.31
24 Aug 2026

MP Materials Corp · NYSE

The only integrated Western producer running mine, separation and magnet operations under one roof. Second-quarter NdPr production 840 tonnes and sales 1,006 tonnes; consolidated revenue and price-protection income $126.1m; adjusted EBITDA $28.5m. Market capitalisation around $10.7bn against a 52-week range of $37.81 to $100.25 — a stock that has already round-tripped a large part of the 2025 enthusiasm. The Magnetics segment fell 17 per cent year on year.

WATCH NEXT

> First commercial magnet deliveries, guided to the fourth quarter of 2026.

LYC.AX

A$16.50
Aug 2026

Lynas Rare Earths · ASX

The largest separator outside China, with concentrate from Mt Weld and processing in Malaysia. June-quarter revenue A$288.9m, up 70 per cent, at a record average selling price of A$98 per kilogram, with cash up A$138m to A$1.209bn. Production of 1,857 tonnes nonetheless missed consensus by roughly 15 per cent and the shares fell about 9 per cent on the result. Trading roughly 26 per cent below the A$22.37 52-week high.

WATCH NEXT

> September-quarter throughput, and the A$294m heavy rare earth expansion in Malaysia.

USAR

Target cut $40→$30
Jul 2026

USA Rare Earth · Nasdaq

A vertically integrated aspirant: the Stillwater, Oklahoma magnet plant, ownership of Less Common Metals for alloy, and the Serra Verde acquisition for upstream feed. First commercial yttrium metal was produced in April 2026 and the company has spoken of 200 to 500 tonnes of magnet output. Roth cut its target from $40 to $30 in July on execution and funding risk; early production remains loss-making and financing implies dilution.

WATCH NEXT

> Magnet block production at Stillwater and the integration of Serra Verde under a new chief executive.

NEO.TO

US$205.7m Q2 revenue
Q2 2026

Neo Performance Materials · TSX

The furthest advanced non-Chinese magnet project in Europe, at Narva in Estonia, alongside an established magnetic powders and rare earth chemicals business. Second-quarter revenue US$205.7m with adjusted EBITDA US$57m. First-half operating cash flow was negative US$49.6m as inventory built. The Narva plant was still shipping qualification samples rather than commercial volume as of the second quarter.

WATCH NEXT

> Conversion of Narva qualification samples into a commercial European offtake.

UUUU

99.9% Tb oxide
25 Mar 2026

Energy Fuels · NYSE American

A uranium producer that has turned its White Mesa mill in Utah into a rare earth separation platform, processing monazite from Florida and Georgia. Announced first US primary production of a heavy rare earth oxide at specification grade in decades — terbium at 99.9 per cent purity — on 25 March 2026, and is building heavy separation capacity targeting commercial dysprosium and terbium by the end of 2027. The hardest engineering still lies ahead.

WATCH NEXT

> Construction milestones on heavy separation against the end-2027 commercial target.

ILU.AX

5,500 tpa NdPr design
Comm. 2027

Iluka Resources · ASX

A mineral sands producer building Australia's first fully integrated rare earths refinery at Eneabba, one of very few facilities outside China designed to separate both light and heavy oxides. Design capacity is 5,500 tonnes a year of NdPr and 750 tonnes of dysprosium and terbium. Commissioning has been revised from the original 2026 target to 2027, which is itself a data point on how these projects behave.

WATCH NEXT

> Whether the revised 2027 commissioning date holds through the next construction update.

The bottom line

What was repriced in August was not the rare earth thesis but the distance between its two halves. The upstream half delivered: more tonnes, better prices, stronger balance sheets, a benchmark that even after falling to $97.40 sits far above where this industry spent the previous decade. The downstream half — the magnet — did not. MP's magnet revenue shrank, Neo's European plant remained on samples, Iluka slipped a year and Energy Fuels' heavy separation is an end-2027 target. The market marked down the gap between a mining result and a manufacturing one, and it was right to notice the difference.

The evidence is genuinely mixed and should be held that way. Record Chinese magnet exports to the United States sit alongside a Pentagon price floor; a corrected light price sits alongside a heavy price at multiples of Chinese levels; strong revenue growth sits alongside missed volumes and negative operating cash flow. The reasonable inference is narrow: this is now an execution question with a political deadline attached, not a scarcity question. The next test is specific and close. Whether MP ships commercial magnets in the fourth quarter, and what Beijing does on 10 November, will between them settle more of this argument than another quarter of oxide tonnage ever could.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not a solicitation to buy or sell any security. Companies are named solely to illustrate how the theme is expressed in listed markets; no view is offered on their merits as investments. All external figures carry an as-of date and were verified against published company releases, official trade statistics, price assessments and dated reporting at the time of writing; prices and market levels change, and figures may be stale by the time this is read. Internal Wiki views, where present in this format, are the opinions of named third-party research providers, labelled as views rather than forecasts — in this edition none could be retrieved and none are cited. Where internal and external accounts conflict, the conflict is stated and left unresolved rather than reconciled. No figure appearing here was estimated, interpolated or inferred; figures that could not be verified were dropped.

Sources and update notes

(a) Internal. No internal sources were used. The Heyokha Wiki MCP server (tools prefixed *mcp__Heyokha_Wiki__*) was not present in this run: a tool search returned no matching interfaces, so *list_sources*, *list_pages*, *get_page*, *get_relations* and *search_wiki* could not be called. Consequently no theme page, no *created* or *last_reviewed* date, and no provider issue — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — is relied upon or cited anywhere above. A secondary check of the connected Notion workspace found only unrelated 2024-vintage engineering and general-research content, not the research Wiki. The standing instruction for total MCP failure is to fall back to browser and web research and record the failure, which is what has been done.

(b) Limitation on the internal view. The usual limitation paragraph names the provider concentration on the Wiki page in question. That cannot be done here, and the resulting limitation is more severe than usual rather than less. This edition rests entirely on external, publicly available material and on the editorial judgement of this automated run. It therefore lacks the house counterweight the format is built around: there is no internal thesis to test the external data against, no named provider whose bias can be disclosed, and no record of when the firm last reviewed this theme. The reframe in the lede sidebar and the mental model in the second pull-quote are editorial constructions of this edition, not internal positions, and should not be read as the firm's view. Readers should weight this edition accordingly and treat the bull and bear cases below as assembled from external reporting and from tensions visible inside the companies' own results — which is explicitly how the bear case was built, the Wiki being unavailable to supply one.

(c) External sources. (1) Shanghai Metals Market benchmark via published price trackers: NdPr oxide $97,400.79 per tonne, or $97.40/kg, as of 4 August 2026, against $110.55/kg in July, a fall of roughly 11.9 per cent. (2) S&P Global Commodity Insights, 18 August 2026: NdPr oxide sales heard below support levels of $110/kg CIF North America; separate August indications quoted at $115–120/kg CIF North America. (3) MP Materials second-quarter 2026 results: revenue $108.5m, up 89 per cent year on year; consolidated revenue and price-protection income $126.1m; adjusted EBITDA $28.5m; NdPr production 840 tonnes, up 41 per cent; NdPr sales 1,006 tonnes, up 127 per cent; Materials segment revenue $95.6m, up 155 per cent, with $17.6m price-protection income and $32.5m adjusted EBITDA; Magnetics segment revenue $16.5m, down 17 per cent; first commercial magnet deliveries guided to the fourth quarter; long-term separated gadolinium offtake with a US aerospace and defence customer. (4) MP Materials share price $60.31 on 24 August 2026, intraday range $55.85–$60.59, market capitalisation approximately $10.7bn, 52-week range $37.81–$100.25; the shares closed at $60.05 on Friday 21 August, up 9.1 per cent. (5) MP Materials–US Department of Defense public–private partnership announcement, July 2025: ten-year $110/kg NdPr price floor, Department pays the shortfall to the floor and receives 30 per cent of upside above it; 10X magnet facility of approximately 10,000 tonnes a year commissioning in 2028, with the Department ensuring purchase of 100 per cent of its output for ten years following construction. (6) Lynas Rare Earths June-quarter FY2026 report: NdPr production 1,857 tonnes, approximately 15 per cent below consensus on Mt Weld water plant and ore quality issues; sales revenue A$288.9m, up 70 per cent year on year and approximately 23 per cent below market expectations; record average selling price A$98/kg; cash up A$138m to A$1.209bn; heavy rare earth project capital estimate raised to A$294m; commercial samarium oxide production commenced; shares fell approximately 9 per cent on the result. (7) Lynas share price approximately A$16.50 in August 2026 against a 52-week high of A$22.37. (8) China General Administration of Customs, July 2026: rare earth permanent magnet exports 5,375.1 tonnes, down 4.9 per cent month on month and 3.6 per cent year on year; January–July cumulative up 32.2 per cent year on year; average export unit price $60.4/kg, the highest in three years; US-bound volumes a record for the month, moving the United States past South Korea into second place among destinations. (9) China's Ministry of Commerce: the expanded October 2025 export controls, including the extraterritorial provision reaching products made outside China using Chinese-origin rare earths or technology, were suspended for twelve months and lapse on 10 November 2026; the April 2025 controls requiring case-by-case licences for samarium, gadolinium, terbium, dysprosium, lutetium, scandium and yttrium remain in force. (10) International Energy Agency: full implementation of China's rare earth export controls estimated to place $6.5trn of downstream production outside China at risk; China responsible for roughly 70 per cent of mined production, close to 90 per cent of processing and approximately 90 per cent of permanent magnet production. (11) Published price trackers, heavy rare earths: terbium approximately $1,094.68/kg domestic China as of 3 August 2026, off a July 2026 high; dysprosium oxide approximately $208.68/kg domestic China as of June 2026, up 105 per cent year to date; ex-China indications reported during 2026 of approximately $4,500/kg for terbium oxide, approximately $1,450/kg for dysprosium oxide and close to $1,100/kg for yttrium oxide by May 2026, with European prices reported at up to six times Chinese levels; thirteen of nineteen tracked elements declined during August 2026. (12) Neo Performance Materials second quarter 2026: revenue US$205.7m, adjusted EBITDA US$57m, first-half operating cash flow negative US$49.6m on rising inventory; Narva, Estonia magnet plant shipping qualification samples, not at commercial volume. (13) USA Rare Earth: Stillwater, Oklahoma magnet facility with stated ambition of 200–500 tonnes of magnet output; first commercial yttrium metal production announced 15 April 2026; Roth Capital price target cut from $40 to $30 in July 2026 on valuation and execution risk; Serra Verde acquisition and chief executive transition. (14) Energy Fuels: first production of terbium oxide at 99.9 per cent purity announced 25 March 2026 from monazite sourced in Florida and Georgia, described as the first documented US primary production of a heavy rare earth oxide at specification grade in decades; heavy rare earth separation under construction at the White Mesa mill in Utah targeting commercial dysprosium and terbium by the end of 2027. (15) Iluka Resources: Eneabba integrated rare earths refinery, design capacity 5,500 tonnes a year of NdPr oxide and 750 tonnes a year of dysprosium and terbium oxide, commissioning revised from 2026 to 2027. (16) Market context for 24 August 2026: the Dow Jones Industrial Average closed the prior session at 53,277.01, the S&P 500 at 7,674.37 and the Nasdaq Composite at 26,180.46; on 24 August technology led declines with the sector down over 2 per cent and semiconductors down over 3.75 per cent, while materials gained 2.2 per cent and healthcare 1.3 per cent. The Jackson Hole symposium runs 27–29 August 2026, the first under Federal Reserve Chair Kevin Warsh, who succeeded Jerome Powell in May 2026, with the keynote on Friday 28 August.

(d) Editorial choices in this automated run. Topic selection could not follow the prescribed entity-scoring procedure, because that procedure depends entirely on the Wiki MCP server, which was unavailable. The topic was instead selected by external news scan, which the standing instruction permits as the documented fallback. Rare earth magnets was chosen on three grounds: a dated, binary catalyst eleven weeks out on 10 November; fresh company results in the last month from MP Materials and Lynas that cut against the prevailing narrative; and a benchmark price that broke a politically significant level on 4 August. The cooldown check, by contrast, was fully verifiable. The *HB Wiki Learning* folder was read directly through the mounted workspace rather than the remote-devices bridge, which was also unavailable; twenty-four prior editions were parsed. Topics excluded as used within thirty days were: AI Capex, Gold Miners, Oil & Gas, Copper, Grid Equipment, Software Unit Economics, Healthcare Rotation, Tanker Shipping, Uranium, Oil Chokepoint Risk, Seat-Based Software, Energy Chokepoints, Copper Smelting Bottleneck, Fiscal Dominance, China Equities and Memory Supercycle. Rare Earth Magnets does not appear in the archive at all. Two tool failures are therefore recorded: the Heyokha Wiki MCP server was absent, and the remote-devices bridge was absent. Both were confirmed rather than assumed, and neither was retried more than twice. The consequence for this edition is that the internal leg is missing entirely and the external leg carries the whole argument; the bear case in particular was constructed from external reporting and from tensions inside the companies' own reported segment results, as the format requires when the internal source cannot supply one.
